Product Requirements Document & Term Sheet for AI Skills Workshop

Kiwibank Notice Saver (32-Day & 90-Day Commitment)

Document Reference: `KB-PRD-NS-2026-V2`
Product Code: `notice-saver`
Product Issuer: Kiwibank Investment Management Limited
Distributor: Kiwibank Limited
Regulatory Structure: Managed Investment Scheme / Portfolio Investment Entity (PIE)
Target Audience: Core Banking Implementation Team & FDE Skill Engine
Currency: NZD

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1. Product Baseline & Core Value Proposition

The **Kiwibank Notice Saver** is a committed variable-rate savings product structured as a fund within a Portfolio Investment Entity (PIE). It offers retail, business, and commercial depositors higher yields than standard on-demand call accounts without locking funds into rigid fixed-term deposits:

- **Notice Commitment Horizon:** Depositors select a mandatory waiting period of either **32 calendar days** or **90 calendar days** to access funds.
- **Continuous Inward Liquidity:** Depositors can add funds at any time, in any quantum, via direct credit, automatic payment, or internal transfer. Inward top-ups do not restart or disrupt active notice batches.
- **Ongoing Yield on Notice Funds:** Balances placed on notice continue to accrue the full variable carded interest rate every day until the payout date.
- **100% Principal Protection:** Customer principal is strictly protected; early termination break charges are capped at cumulative interest earned.
- **Statutory Depositor Protection:** Fully eligible for the New Zealand Depositor Compensation Scheme (DCS).

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2. Product Matrix & Commercial Terms

Commercial Dimension	Notice Saver 32-Day	Notice Saver 90-Day
Commitment Tier	Medium-Term Notice	High-Yield Committed Notice

Target Segment	Personal, SME, Trusts	Commercial, Agri, High-Net-Worth
Notice Period	32 Calendar Days	90 Calendar Days
Rate Type	Carded Variable (Treasury-managed)	Carded Variable (Treasury-managed)
Carded Variable Yield	4.00% – 4.10% p.a.	4.25% – 4.60% p.a.
Minimum Initial Deposit	$0.00 (Standardised baseline)	$0.00 (Standardised baseline)
Minimum Ongoing Balance	$0.00	$0.00
Maximum Portfolio Limit	$5,000,000 NZD across accounts	$5,000,000 NZD across accounts
Top-up Frequency	Unlimited; anytime without notice	Unlimited; anytime without notice
Account Maintenance Fee	$0.00 (No ongoing monthly fees)	$0.00 (No ongoing monthly fees)
Tax Regime	PIE Tax (PIR: 0%, 10.5%, 17.5%, 28%)	PIE Tax (PIR: 0%, 10.5%, 17.5%, 28%)
DCS Eligibility	Eligible under NZ DCS	Eligible under NZ DCS

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3. Account Mechanics & Operating Model

3.1 Onboarding & Day-1 Account Binding

1. **Notice Horizon Selection:** Customer selects either the 32-day or 90-day variant upon opening.
2. **Nominated Account Linking:** The customer registers a domestic New Zealand transactional account (`nominated_account_id`) to receive automated maturity disbursements and emergency break proceeds.
3. **PIR Certification:** The customer certifies their Prescribed Investor Rate (`pir_tax_rate`: 0%, 10.5%, 17.5%, or 28%).

3.2 Permitted & Prohibited Transaction Channels

To enforce statutory liquidity terms and preserve fund stability:

- **Permitted Inward Channels:** Direct Credit (BECS), internal transfers, automated recurring savings.
- **Permitted Outward Channels:** Automated maturity sweep to the nominated account, authorised emergency breaks, and account closure sweeps.
- **Prohibited Channels:** Debit/ATM cards, cheque issuance, direct debit authorities, and point-of-sale (EFTPOS) merchant debits.

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4. Interest Calculation & PIE Tax Mechanics

4.1 Daily Credit Interest Accrual

- **Day-Count Divisor:** Actual / 365 days (statutory New Zealand standard).
- **Consolidated Accrual Base:** Accrual runs daily at 23:59:59 NZST over all cleared credit funds across both available and locked notice balances:
    - $DailyAccrual = (AvailableBalance + NoticeLockedBalance) \times \frac{VariableRate}{365}$
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- Funds serving notice earn the prevailing carded variable rate up to the calendar date the money leaves the account.

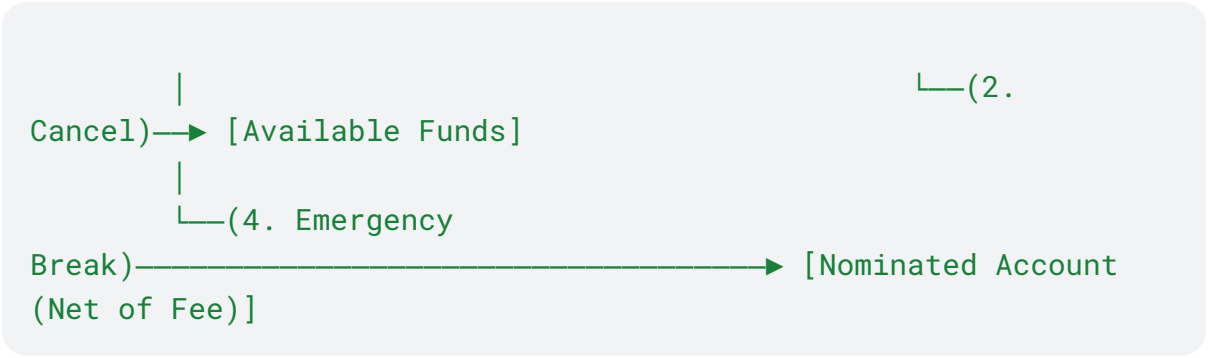
4.2 Monthly Capitalisation & PIE Tax Distribution

- **Cycle:** Triggered on the final calendar day of each month at 23:59:59 NZST.
- **Tax Deduction:** Gross monthly accrued interest is split according to the customer's PIR:
    - $PIETaxWithheld = GrossMonthlyAccruedInterest \times PIR$
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    - $NetCompoundedInterest = GrossMonthlyAccruedInterest - PIETaxWithheld$
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- **Settlement:** Tax is remitted to Inland Revenue (IRD), and net interest is credited into available funds, compounding from the 1st of the following month.

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5. Notice Lifecycle & Withdrawal Workflow

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None
[Available Funds] ──(1. Lodge Notice)──► [Notice Locked Funds]
──(3. Maturity)──► [Nominated Account]
        │                                        │
```



1. **Lodgement:** The customer lodges a withdrawal request for any partial or full balance up to the available cleared amount via digital banking or contact centre. The requested quantum is immediately segregated into notice status. Multiple concurrent notice batches with distinct release dates are permitted.
2. **Cancellation:** The customer may cancel a notice at any point prior to maturity. Funds return immediately to available status without penalty.
3. **Maturity Auto-Disbursement:** Upon reaching the 32nd or 90th calendar day, the matured funds automatically disburse to the customer's linked nominated account without requiring branch or manual banker action.

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6. Early Termination & Immediate Break Charges

6.1 The "Lesser-of" Break Penalty Formula

When a customer requests immediate withdrawal without fulfilling the mandatory notice period, Kiwibank's standard early withdrawal fee applies:

$$CalculatedCharge = PrincipalWithdrawn \times \frac{VariableRate}{365} \times NoticePeriodDays(32 or 90)$$

To guarantee **100% principal capital preservation**, the final fee charged is capped at cumulative interest accrued:

$$ActualBreakPenalty = \min(CalculatedCharge, CumulativeAccruedInterest)$$

Illustrated Examples:

- **Example A (Full 32-Day Penalty Charged):**
  Customer breaks $\$50,000$ at 4.00% p.a. after 60 days on deposit:
  - $CalculatedCharge = \$50,000 \times \frac{0.04}{365} \times 32 = \$175.34$

- Since earned interest (≈ 328.77) exceeds $\$175.34$, the full penalty of **$** 175.34 is deducted.
- **Example B (Principal Protection Cap Activated):**
  Customer breaks $\$50,000$ at 4.00% p.a. after only 5 days on deposit:
  - $CalculatedCharge = \$175.34$
  - $CumulativeInterestEarned = \$50,000 \times \frac{0.04}{365} \times 5 = \$27.40$
  - Because cumulative earnings are less than the charge, the penalty is capped at **$** 27.40. The customer receives their full $\$50,000$ principal back intact.

6.2 Compassionate Grounds & Hardship Waivers

Immediate withdrawal penalties are **100% waived** for approved cases of severe financial hardship, terminal illness, or bereavement. Upon flag activation, the full withdrawal amount is disbursed with zero fee deduction.

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7. Account Dormancy & Closure Terms

- **Dormancy:** Accounts with no customer-initiated transactions for 3 or more years are placed on dormancy hold. Debits and notice lodgements are blocked; inbound transfers and daily interest accruals remain operational.
- **Account Liquidation & Closure:** Customers may close the account at any time. Any mid-cycle accrued interest is calculated, taxed at the applicable PIR, and paid out alongside the total remaining balance to the nominated account.